

The Value Realization Score

One North Star for product adoption and customer value capture

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Today We Measure Consumption — Not Value

Product adoption measured by **monthly consumption** misses churn-risk behaviors and expansion opportunities

Measuring **customer value** requires a framework that accounts for the scenarios below:

Spike & Drop ~5% of accounts

- Burn 90% of entitlement in Q1, then flatline
- Healthy cumulative utilization hides churn risk

Shelfware ~10% of accounts

- Licenses purchased but never activated
- Missed entirely by consumption-only dashboards

Consistent Overage ~15% of accounts

- Consumes 120%+ of purchased license
- Hides massive uncaptured upsell potential

Mid-Year Expansion 6 accounts

- Overlapping contracts create active entitlement noise
- Incorrectly flags healthy accounts as shelfware

Measure Value Through Value Realization

$VRS = 100 \times (0.35 \cdot \text{Utilization} + 0.25 \cdot \text{Feature Adoption} + 0.25 \cdot \text{Sustained Usage} + 0.15 \cdot \text{Time to Value})$

35% License Utilization • Depth: Consumed ÷ purchased, normalized 0–100% (accounting for mid-year expansions) • Shelfware: Near-zero consumption exposes inactive licenses • Overage: Usage above license raises an overage flag	25% Feature Adoption • Breadth: Average adoption depth across all entitled features (0–100%) • Single-Feature Risk: Identifies narrow usage in high-utilization accounts	25% Sustained Usage • Durability: Recency-weighted usage over trailing 3 months • Consistency: Flags short-term usage spikes followed by immediate drops	15% Time to Value • Speed: Days to first active usage • Milestones: Segmented by ≤30, 30–90, and 90+ days
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VRS BANDS — HOW SCORES READ

Value Realized · 70–100 Strong value realization	Developing · 50–69 Partial value — quality signals lag	At Risk · 30–49 Largely unrealized	Critical · 0–29 Near-dormant — shelfware or lapsed
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Weighted by ARR — each product's score is weighted by its ARR, rolled up to customer, platform, and portfolio

From Raw Events to One Number

6 RAW TABLES

customers, products, entitlements, features, consumption, feature adoption — in BigQuery

2 STAGING VIEWS

Contract view: merges overlapping contracts · Feature view: scores features against benchmarks

1 INTERMEDIATE

Intermediate Table: four signals computed per customer × product × month

4 MARTS

SKU scores (VRS + state + flags) · feature detail · customer/product roll-ups

DASHBOARD

Streamlit — live BigQuery connection

Data Quality

- Dataset mirrors real catalog (19 product models at realistic scale)
- Four anomaly behaviors injected as hidden ground truth
- 36 automated checks enforce quality and verify recovery rates

Design

- **License Utilization:** Catches shelfware and overage
- **Sustained Usage:** Catches spike & drop
- **Feature Adoption:** Flags single-feature dependency
- **Time to Value:** Flags slow starts
- Contract math handles mid-year expansions

Model

- Simple, readable scoring rules instead of ML
- Usage curve rewards real use and caps over-use
- Scores features against normal volume
- Applies extra weight on recent months
- Fixed rule order gives each account one status

The Portfolio Today — June 2026

\$146.5M

Total ARR

70.2%

Portfolio VRS (ARR)

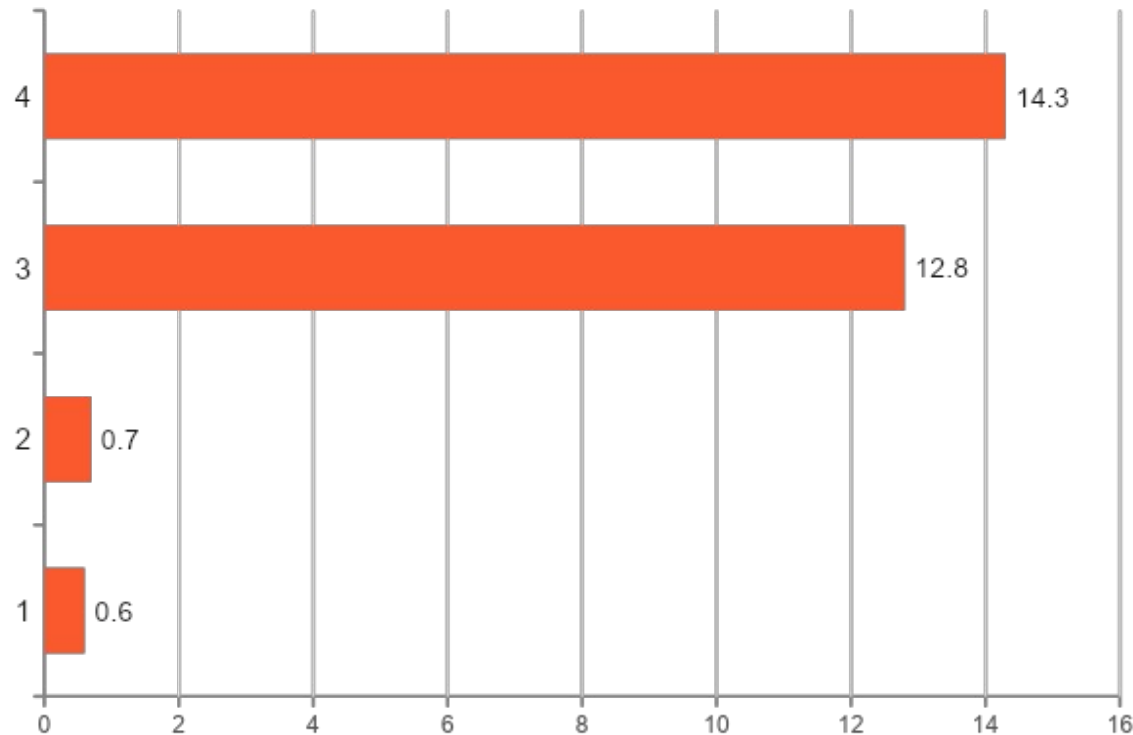
\$28.4M

ARR at risk — 19.4%

\$20.3M

Expansion ARR

ARR at Risk by Platform (\$M)



- **SASE — \$14.3M: driven by shelfware and spike & drop**
 - **\$7.6M** from unactivated licenses, mainly Prisma Access MU/RN - likely driven by seats bought ahead of migrating users
 - **\$6.7M** from early usage and drop
- **Hardware NGFW — \$12.8M: mostly shelfware, plus spike & drop**
 - **\$7.9M** from unactivated licenses
 - **\$4.9M** from early usage and drop, concentrated in PA-5410, PA-5445, PA-410
- **Cloud NGFW — \$0.7M: mostly shelfware, and Azure lags AWS**
 - **19%** of ARR at risk (highest platform share): \$0.5M shelfware, \$0.2M spike & drop
 - Azure lags AWS significantly in adoption score (60 vs 76)
- **Software NGFW — \$0.6M: the smallest risk**
 - **14%** of ARR at risk (lowest platform risk overall)
 - High loyalty: these customers adopt fastest and retain what they buy

Call to Action

ACTIVATE

\$16.4M

Shelfware Risk — bought, never deployed. Customer Success runs first-deployment plays; flag unrescued accounts as renewal risk early

Customer Success

WIN BACK

\$12.0M

Spike & drop — burned early, went dark. Diagnose why usage stopped and build a save plan while the renewal is still winnable

Account Teams

UPSELL

\$20.3M

Expansion flag — consuming past the license. Real demand, currently uncaptured revenue. Hand the list to GTM for capacity true-ups

GTM/Sales

PRODUCT — invest in driving feature adoption: Customers use about half the features they own. Start with guided onboarding, feature-discovery nudges, and campaigns for entitled-but-idle features

CUSTOMER SUCCESS & GTM — measure GTM teams on VRS: Compensate teams on account VRS scores to incentivize actions that drive renewals and upsells. CS measured on healthy adoption and GTM on expansion opportunities

Decisions We Need From This Room

1

Backtest before full rollout

Validate VRS against historical data to confirm that low scores correlate with churned customers, high scores correlate with renewals/expansions

2

Adopt VRS as the North Star

One holistic score to measure if customers are getting value from what they purchased, beyond just consumption

3

Tie incentives to VRS

Measure CS/GTM teams on VRS and compensate them on it

Appendix — Signal Calculations and Thresholds

Signal	Weight	Calculation	Thresholds and scoring
License Utilization	35%	Utilization = usage ÷ license size measured each month, per customer and product; a mid-year expansion adds both contracts to the license size	below 10% of license → 0% (shelfware) · 10–60% → scores 30–90% · 60–100% → scores 90–100% · 100–120% → 100% (healthy peak) · above 120% → capped at 80% (overage)
Feature Adoption	25%	Score = average of all feature grades every owned feature is graded monthly on how much it is used	feature grades: not used → 0% · barely used → 30% · used regularly → 70% · used heavily → 100% (own 4 features, really use 1 → 25%)
Sustained Usage	25%	Score = 50% × this month + 30% × last month + 20% × month before each month counts as 1 if the product was meaningfully used (above 10% of license), else 0	used all 3 months → 100% · went quiet this month → 50% · quiet for two months → 20% · not used at all → 0%
Time to Value	15%	Score falls from 100% to 0% between day 30 and day 90 measured from contract start to the first month of real usage (above 10% of license)	first real use within 30 days → 100% · slower starts score lower, hitting 0% at 90 days · never used → 0% · no penalty during the first 30 days

Expansion flag

Using more than 120% of the purchased license, month after month — demand beyond what the customer bought.

Single-feature dependency flag

Feature score below 25% while using over 90% of the license — heavy usage that depends on a single feature.